A Case Study on On-door Grocery Application Bhopal, India

A

Project Report

Submitted to

SAGE University, Bhopal

For the partial fulfillment of

Bachelor of Business Administration SEM – 6th (2023-2024)

Submitted by
Aradhana Barve
21BBA3PLN10005
School of Management

Supervisor:-
Dr. Shikha Ujjainia
Assistant professor
School of Management

School of Management, SAGE University, Bhopal Sahara Bypass Road,Katara Hills, Extension, Bhopal, Madhya Pradesh 462022

ACKNOWLEDGEMENT

We would like to express our heartfelt gratitude to our supervisors Dr. Shikha Ujjainia, Department of Commerce, Sage School of Management Bhopal who encouraged us throughout the project. Their careful support and motivation were the prime factors contributing to the timely and successful completion of this project.

We owe an enormous debt of gratitude to our guide, Ms. Charul Chaturvedi, HOD, School of Management, for guiding and inspiring us from the beginning through the end of this thesis with his intellectual advice and insightful suggestions. we truly appreciate and value his consistent feedback on our progress, which was always constructive and encouraging, and ultimately drove us in the right direction.

We also owe a great deal of thanks to several people who have helped and motivated us throughout our thesis work as well as throughout our undergraduate course at Bhopal, in particular, Dr. (Manoj Bhatia, SUB, Bhopal), and all teaching and non-teaching staff of Management Department.

CERTIFICATE FROM THE SUPERVISOR

This is to certify that the work incorporated in the project report entitled **"**A Case Study on On-door Grocery Application Bhopal, India**"** is a record of work carried out by Aradhna Barve (21BBA3PLN10005) Under my guidance and supervision for the award of the degree of BBA SAGE University, Bhopal.

To the best of my/our knowledge and belief the project report

I. Embodies the work of the candidates/ himself/themselves
II. Has duly been completed
III. Fulfils the requirement of the ordinance/guidelines relating to the BBA degree of the University and
IV. Is up to the desired standard both in respect of contents and language for being referred to the examiners.

Name of Supervisor	Name of Co-Supervisor
Dr. Shikha Ujjainia	Ms. Charul Chaturvedi
Assistant prof.	HOD
SAGE School of Management	SAGE School of Management

The above-mentioned project work is recommended and forwarded for examination and evaluation.

HOS/ Dean

MANOJ BHATAIA

School of Management, SAGE University, Bhopal Sahara Bypass Road,Katara Hills, Extension, Bhopal, Madhya Pradesh 462022

School of Management

SANJEEV AGRAWAL GLOBAL EDUCATIONAL (SAGE)

UNIVERSITY, BHOPAL

CERTIFICATE

This is to certify that the work embodied in this dissertation entitled **"**A Case Study on On-door Grocery Application Bhopal, India**"** is submitted by Aradhna Barve (21BBA3PLN10005), for fulfillment of the requirement for the award of "BBA" discipline to SAGE University, Bhopal (M.P.) during the academic year 2023-24 is a record of a Bonafede piece of work, undertaken by him under the supervision of the undersigned.

Supervisor DR. Manoj Bhatia

Dr. Shikha Ujjainia

School of Management, SAGE University, Bhopal Sahara Bypass Road,Katara Hills, Extension, Bhopal, Madhya Pradesh 462022

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1. Introduction

1.1. About On-door

On Door Concepts Ltd, an e-commerce website catering to the needs of grocery and home essentials, was incorporated in India in 2014 by Shailendra Jain - Owner - of On-door Concepts Private Limited. The company's financials for the last three years show a flat growth in revenues, with net margins being neutralized

The company, later, also opened its **first store in Bhopal** and has since expanded its network to 55 stores across various cities in Madhya Pradesh in the last 8 years.

Currently, out of the 55 stores, a total of 17 stores are owned and operated by the company, while the remaining 38 stores are operated through the franchisee model. The company has tried to create an omnichannel kind of experience by providing goods across digital and also physical platforms. It deals across 3 broad product categories viz, food products, FMCG products, and general merchandise.

Orders can also be placed using the web portal or even by using the telephonic orders interface, which is backed up by back-end logistics to deliver the order to the customer's doorstep. Its underlying retail principle has been to ensure low prices every day to create strong mindshare among consumers.

The Food category includes groceries, fruits, vegetables, beverages dairy products, and confectionery, which are generally for daily household usage. The fast-moving consumer goods (FMCG) category cover personal care and toiletries as well as other OTC (over-the-counter) products. Finally, the general merchandise category comprises crockery, plastic products, other items of daily necessity, etc. The company currently offers its e-commerce transaction platform across Android and IOS Application.

Additionally, the On Door grocery app aligns with the trend of on-demand grocery delivery apps, offering benefits such as time-saving solutions for customers with busy schedules, personalized interactions, enhanced customer loyalty, and expanded operating hours to cater to customers' convenience. By leveraging features like push notifications, search and filters, order tracking, multiple payment options, in-app chatting, and real-time tracking, the app aims to provide a seamless and personalized shopping experience for users. The app's development focuses on essential features like simple registration processes, smart search functionalities, wishlists, cart sharing, targeted product recommendations, price comparison, click-and-collect options, real-time order tracking, multilingual support, purchase history access, voice search, and advanced scheduling capabilities to enhance user experience and increase customer satisfaction

1.2. Features of On-door

The essential features of an on-demand grocery delivery app include:

Easy Sign-up & Login: Users should be able to create an account easily with basic details like name, country, and email, and log in with email and password.

Update Profile: Users should have the ability to edit and update their profile details like name, email address, contact number, and address.

Search and Filter: A search function categorizing products by name, store locations, and types, along with filters for quick browsing, is crucial for users to find products easily.

Add to Cart: Users should be able to add multiple items from different stores to their cart, facilitating easy tracking and checkout.

Instant or Schedule Orders: Users should have the option to place orders instantly or schedule them for a later time to suit their convenience.

Real-time Analytics: Providing insights into user behavior, preferences, and app performance can help in optimizing the app for better user experience.

In-app Chat and Call Option: Enabling direct communication between customers and support staff or delivery personnel enhances customer service and support.

GPS Tracking: Customers should be able to track their orders and delivery staff in real-time for transparency and convenience.

Repeat Order Feature: Allowing users to reorder their frequent purchases with a few clicks saves time and enhances user experience

2. Review of Literature

i) According to Samuel Svonavec on September 20, 2017, researched that :-

The world is new and ever-changing, and in today's digital world, the fast, simple acquisition of goods and services is greatly desired. At a glance, people can be seen walking with their cellphones in hand, listening to music, texting, checking their bank accounts, and even shopping. The ways of old are becoming obsolete with brick-and-mortar retailers being swallowed alive by online giants, such as Amazon and eBay.

Despite its hard hit on physical businesses, online shopping has proved to have many positive advantages for consumers. Online stores are open 24 hours a day, 7 days a week, so the issue of a store closing before the consumer can make it on time is completely eliminated. Online shopping is exceptionally efficient during the holidays; shoppers do not have to bother with the long, exasperating lines, and they get to cut back on gas spending by staying indoors. Due to the lack of operating costs, online retailers can sell goods at lower prices; this makes the experience of online shopping not only faster and more convenient, but it is also far cheaper than going to the physical store.

ii) According to Ludvík Eger , Lenka Komárková , Dana Egerová, and Michal Mičík on 14 March 2021, researched that:-

In this research, we document some of the many unusual consumer behavior patterns that came to dominate the early days of the second wave of the COVID-19 pandemic crisis in the context of the Czech Republic. We offer insights based on the Fear Appeal theory to help explain changes in consumer behavior and associated outcomes to inform researchers and marketing practitioners how pandemic crises influence consumers from a generational point of view. The research provides a better understanding of how strong the impact of the COVID-19 pandemic is in this research field. Respondents were most worried about the health of loved ones and job loss. The distribution of fears of others was similar, Generation X (59% born from 1965 to 1980), then Generation B (56% 1950s and the early 1960s) and, slightly lower, Generation Y (53% 1982 and 1994). As mentioned above, fears for losing their jobs were lower than in research by Accenture (2020). The least fears were expressed by Generation B, but many of the respondents from this sample were pensioners.

iii) According to Margherita Pagani, Catherine Pardo in 2017 researched that :-

Digital technologies are progressively transforming B2B companies, though it remains rather unclear how the relationships a company has with its customers, its suppliers or with other actors of the business networks are modified by these technologies.

3. Objectives

I. To know about the company.
II. To know about the current financial situation of the Company.
III. To know the reason for the downfall of the company.
IV. To know about the format that the company was using.

4. Researcher Methodology

4.1 RESEARCH METHOD:

The strategies, processes, or techniques utilized in collecting data or evidence for analysis to uncover new information or create a better understanding of a topic.

5. DATA COLLECTION METHOD: We have used Articles and research papers to accomplish this project. This survey is fully based on secondary data and statistics.

5.1. DATA SOURCE:

5.1.1. Primary Data: The current research was conducted in Bhopal city from April 2024 to May 2024.

5.1.2. Secondary Data: We have collected secondary data from some literature that has already been published as research papers, articles, and reports. Material available on different websites is also considered.

5.2. THE TOOLS

5.2.1. The main tool was Google and other search engines where information related to our subject was available.

5.3. Limitation

5.3.1. Limited access to data.

5.3.2. Lack of previous research study

5.3.3. The data we grabbed from the previous research paper was not updated as per the research scenario.

5.3.4. Sample size depends on the nature of the research problem.

6. Findings and Validation

6.1. Financial Statement

As of March - 31 – 2023, On Door Concepts operates 55 stores in Madhya Pradesh. Of these 17 are owned and operated by the company, while the others are run through a franchisee Model

In 2022 and 2021, On–Door Concepts reported losses of Rs. 536.98 Lakhs and Rs.523.44 Lakhs, respectively, indicating a risk of losing market share to competitors

The top 5 suppliers accounted for 33.97%, 28.02%, and 30.91% of total purchases in 2023, 2022, and 2021, respectively. Failure to maximize relationships with existing suppliers or identify new ones could disrupt business operations.
Negative cash flows have been experienced in the past, and the company is vulnerable to the same in the future. Such cash flow issues could negatively impact the business and prospects.

As of August 31, 2023, On Door Concepts has contingent liabilities in accordance with Ind AS 37. If any of these liabilities materialize, they could adversely affect profitability and significantly impact the company's operational results and financial condition.

As of August 31, 2023, On Door Concepts has outstanding unsecured loans amounting to Rs. 87.70 Lakhs that are calculated on demand by lenders.

The company has not made dividend payments, and its ability to do so in the future will depend on earnings, financial condition, cash flows, working capital needs, capital expenditures, and the constraints imposed by financing agreements

6.2. Down Fall Of On-Door

The downfall of on-door online grocery app in India can be attributed to several factors, including poor customer service, lack of transparency in order management, and technical issues.

Customer reviews on the app stores highlight the frustrations of users who faced frequent order cancellations, unavailability of delivery slots, and poor communication from the customer support team. These issues led to a loss of trust and dissatisfaction among customers, ultimately affecting the app's reputation and user base.

Moreover, the onset of the COVID-19 pandemic accelerated the growth of online grocery shopping, but on-door failed to capitalize on this opportunity. The app's inability to handle increased demand and provide reliable services during the lockdown further contributed to its downfall.

The downfall of On Door in India can be attributed to several factors, including the lack of source control, poor ventilation, and the use of polluting cooking methods. To save the downfall, On Door could have taken several steps, such as promoting cleaner cooking solutions, encouraging the use of range hoods or exhaust fans, and providing education and resources to improve ventilation. By addressing these issues, On Door could have helped to improve indoor air quality and promote healthier living conditions for Indian households.

7. Conclusion

Through this study, we understood the importance of modernization and new technology to keep the business running with time

Nowadays a lot of similar businesses can be seen like Big Basket and Blinkit. In this study we found out that the major drawbacks of On-door were:-

1) COVID
2) Lack of Customer trust
3) Lack of use of new technology

This all could have been avoided but due to poor handling, this business turned into a failure.

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